WARRANTY ATLAS · North Dakota (ND)

Law last amended: 2025 (eff. 2025-08-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-19

Cites: N.D. Cent. Code § 51-07-29; N.D. Cent. Code § 51-07-02.4 (audits/chargebacks)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Independent/retail time guide	§ 51-07-29(1)(b)
Mfr-backed service contract	**Required**	Independent/retail time guide	§ 51-07-29(1)(a)(5), (7)
CPO warranty	**Required**	Independent/retail time guide	§ 51-07-29(1)(a)(6)
Independent service contract	**Conditional**	Independent/retail time guide	§ 51-07-29(1)(a)

Hourly rate: Not less than the dealer's average retail labor rate: total labor sales ÷ total hours from 100 sequential non-warranty customer-paid ROs with warranty-like parts or 90 consecutive days, whichever is less (within 180 days). Presumed fair and effective 30 days after receipt. Manufacturer may contest once, within 30 days, with calculations and evidence; the dispute goes to court and the manufacturer bears the burden. A rate may be demanded no more than once every 12 months.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. written disapproval within 30 days with a contemporaneous detailed written explanation of the reason	§ 51-07-29(2)
Payment	30 days after approval. Dealer filing deadline: within 90 days from completion of the services. 30 days from receipt of disapproval to resubmit a corrected claim	
Chargebacks	12 months; fraud: Section 'does not apply to fraudulent claims'. Chargeback only if the manufacturer proves the claim false or fraudulent, or that the dealer did not substantially comply with reasonable written procedures. Applies to all incentive/reimbursement programs subject to audit. § 51-07-29(11)(c)(3) preserves audi…	§ 51-07-02.4(1)-(3)
Rate resubmission	no demand within 12 months of the last labor-rate declaration (applies to dealer, manufacturer or distributor). Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Tires, Prep / reconditioning, Alignments, Internal, Accessories.	§ 51-07-29(4)-(6), (9)
Mfr response	30 days; no response = approved: Yes. Challenge: Material accuracy of the calculated rate only (the pre-2025 comparison to dealers in an economically similar area was deleted) Forum: court of competent jurisdiction (dealer action); manufacturer bears b….	§ 51-07-29(7)(a)-(d)
Penalties	Rate-dispute action: a winning dealer gets the rate retroactive to 30 days after receipt, plus all expenses including reasonable attorney fees. Willful violation: three times the retroactive rate amount (§ 51-07-29(7)(d)(2)). None identified in ch. 51-07	N.D. Cent. Code § 51-07-29(7)(d)
Audit procedures	Audit climate score 15/100 (Low restrictiveness; chargeback limits 15/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 51-07-29(2)): "A dealer shall submit a claim for reimbursement for services within ninety days from the completion of the services ... The dealer has thirty days from the receipt of the disapproval to resubmit a corrected claim."*
Chargebacks *(§ 51-07-02.4(1)-(3)): "A manufacturer may not conduct a warranty or incentive audit or seek a chargeback on a warranty or incentive payment more than one year after the date of that warranty or incentive payment."*
Rate *(§ 51-07-29(4)-(6), (9)): "one hundred sequential nonwarranty customer-paid service repair orders that contain warranty-like parts or ninety consecutive days ... dividing the amount of the dealer's total labor sales by the number of total hours that generated those sales"*
Factory time *(§ 51-07-29(1)(b)): "may not be less than the average retail rate charged by the dealer as provided under subsection 5 multiplied by the time guide used by the dealer for nonwarranty customer-paid service repair orders."*

Notes

Since 8/1/2025, labor is paid at the retail rate x the dealer's named retail time guide (actual time if no guide). The covered list includes extended warranty, CPO warranty, manufacturer-sponsored service contracts, maintenance programs, goodwill and PDI. Cost recovery and surcharges are barred (3). § 51-07-29 applies to component warrantors (12). Commercial truck parts/equipment dealers are handled separately in § 51-07-31.

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